NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)
PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 18.04.2023 AT 11.00 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)/2/230/AMR/2023		230	Deepak Nexgen Foods & Feeds Private Limited (Transferor Company) and Deepak Nexgen Feeds Private Limited (Transferee Company)

ORDER

Ms.Moulshri, Counsel for the Petitioners present. Orders pronounced. CP(CAA)/2/230/AMR/2023 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

RSN

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA)/2/230/AMR/2023
Connected with
CA (CAA)/7/230/AMR/2022

In the matter of Section 232 Read with Section 230 of the Companies Act, 2013

AND

In the matter of Scheme of Amalgamation of between **DEEPAK NEXGEN FOODS & FEEDS PRIVATE LIMITED,** 1st Petitioner/Transferor Company (having its registered office In Andhra Pradesh) and **DEEPAK NEXGEN FEEDS PRIVATE LIMITED,** 2nd Petitioner/Transferee Company (having its registered office in Andhra Pradesh)

In the matter of:

1. M/s. Deepak Nexgen Foods & Feeds Private Limited,
(CIN: U15122AP2015PTC097234)
Having registered office at #40-2-29,
Siddhartha Apartments, Siddhartha Nagar,
Mogalrajpuram, Vijayawada,
Krishna District, AP-520010.

.... 1st Petitioner/Transferor Company

2. M/s. Deepak Nexgen Feeds Private Limited,
(CIN:U15549AP2010PTC068991)
Having registered office at #40-2-29,
Siddhartha Apartments, Siddhartha Nagar,
Mogalrajpuram, Vijayawada,
Krishna District, AP -520010.

... 2nd Petitioner/Transferee Company

Date of Order Pronounced on:18.04.2023

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Petitioners: Mr. Prashant Kumar Jain &
Ms. Moulshri Shrivastava, Advocates

ORDER
(Per: Justice Telaprolu Rajani, Member Judicial)

1. The present Company Petition is filed by **Deepak Nexgen Foods & Feeds Private Limited,** 1st Petitioner/Transferor Company and **Deepak Nexgen Feeds Private Limited,** 2nd Petitioner/Transferee Company under Sections 232 Read with 230 of the Companies Act, 2013 seeking to take on record the Chairperson Report along with the Scrutinizers Repot for the Petitioner Companies and to sanction the Scheme of Amalgamation (the Scheme for short) of 1st Petitioner/Transferor Company with the 2nd Petitioner/Transferee Company. All the Petitioner Companies registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorized Share Capital of 1st Petitioner/Transferor Company as on 31.03.2022 was Rs.22,66,00,000/- divided into 2,26,60,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.22,66,00,000/- divided into 2,26,60,000 equity shares of Rs.10/- each. The main objects of the Company are to engage in manufacture, contract manufacture, job works, research and contract research, development, trade,

acquisition, storage and marketing of all types of feeds and foodstuffs, nutritive feeds, therapeutic feeds for veterinary use, for animals, marine animals, reptiles, fish, prawns, aves, mammals, insects and all types of living beings, with the exception of human beings, and to engage in the rearing, farming and reproduction, cloning and growth and development of such living beings for feed purposes and cultivate, grow produce or deal in any vegetables including mushrooms, products and to carry on all or any of the business of farmers, dairy, dairymen, milk contractors, dairy farmers, millers, purveyors and vendors of milk, cream, cheese, milk products of all types and descriptions, seeds men and nurserymen, horticulturists and to buy, sell, manufacture and trade, etc.

ii. The Authorised Share Capital of the 2nd Petitioner /Transferee Company as on 31.03.2021 was Rs.24,60,00,000/- divided into 2,46,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.14,50,00,000/- divided into 1,45,00,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business to manufacture, establish, produce, process, protect, preserve, manage, store, dry, clean, commercialize, cure, cut, powder, freeze, prepare, treat, disinfect and to act as stockiest, representative, middleman, consignor, collaborator, agent, broker, importer, exporter, buyer, seller, consultant, job worker, marketman or otherwise to deal in all types of fish meals, fish products, fish feeds, animal products, etc.

iii. According to the Petitioner Companies, the amalgamation of the Transferor Company with the Transferee Company would inter alia help in consolidation of operations of both the companies to achieve better synergies and reduce redundancy and reapplication of works and projects undertaken; greater integration, financial strength and flexibility for the Transferee Company, which will improve the financial position of the Transferee Company; greater efficiency in cash management of the Transferee Company and unfettered access to cash flow generated by the combined business which can be delayed more efficiently to fund growth opportunities, to further improve shareholder's value; improve organizational capability and leadership, arising from the pooling of human capital that has the diverse skills, talent and vast experience to compete successfully in a competitive industry; and the Transferor Company and Transferee Company are engaged in the similar line of business and intend to achieve synergies in economies of scale, unified control of operations and efficiency by consolidating the business operations of both the Transferor and the Transferee Company.

iv. The Board of Directors of both the Petitioner Companies approved the scheme of amalgamation in their respective Board Meetings held on 24.06.2022. The appointed date is 01.04.2022. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from the Equity Shareholders of the 2nd Petitioner Company.

v. The Tribunal, by order dated 21.10.2022 directed the Petitioner Companies to dispense with the meetings of the Equity Shareholders and Unsecured Creditor of the Petitioner Companies and directed the statutory authorities to file their representations, if any. Further, the Tribunal, by corrigendum orders dated 04.11.2022 &16.11.2022 directed both the Petitioner Companies to convene the meeting of the Trade Creditors of the Companies and appointed separate Chairman and Scrutinizer for both the Companies and also directed them to file their reports.

vi. The scheme of Amalgamation was approved by the board of directors of both the Companies.

3. As per directions of this Tribunal vide order dated 22.10.2021, the Petitioner Companies issued notices to the Statutory Authorities.

4. Notices were served on Central Government through the Regional Director (SER), Registrar of Companies (RoC), Andhra Pradesh, Official Liquidator, Hyderabad, and Income Tax Authorities for intimating the Scheme of Amalgamation.

5. Regional Director (RD), Ministry of Corporate Affairs and Official Liquidator (OL) filed their reports in response to the notice issued to them. RD received a letter No. ROCV/Amal/STA/68991 & 97234/230/2023/2922 dated 31.01.2023 from the Registrar of Companies, Andhra Pradesh. Based on the report of the RoC, the RD sought this Tribunal to direct the Petitioner Companies to preserve its

books of accounts & papers & records and not to dispose of without prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013; to ensure statutory compliance of all applicable laws and also to specify that sanctioning of the present scheme shall not absolve the Applicant Company from any of its statutory liabilities in any manner; and to direct the petitioner companies involved in the scheme to comply with rule 17(2) of "The Companies (Compromise, Arrangement and Amalgamation) Rules 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the Office of RoC, Andhra Pradesh by the Petitioner companies. The RD sought this Tribunal to direct the Petitioner Transferee Company to file an application with the Registrar of Companies, indicating the revised authorised capital and proof of paying prescribed fees due on revised capital, after setting off the fee already paid by the Transferor Company. Letter dated 13.01.2023, was issued to the Additional Commissioner of Income Tax, Vijayawada, but the said letter was returned undelivered, hence, to direct the Petitioner Companies to furnish an undertaking that, if any demand arises in future with respect to Transfer or Company and Transferee Company, Transferee Company will pay such dues to the Income Tax Authorities as per law.

Hence, from the above report of the RD it can be understood that there are no tenable objections raised.

6. The Official Liquidator (OL) made certain observations in his report filed on 06.02.2023 which are as follows:

(a). That, Clause 6 of Part-II of the Scheme seeks to protect the employees of the Transferor Company on the Appointed Date , who are in service, as at the end of the Transition period, they shall be deemed to have become staff, workmen and employees of the Transferee Company with effect from the Appointed Date or the date of joining whichever is later, without any break or interruption in their service. Hence, sought this Tribunal to direct both the Petitioner Companies to submit an undertaking to the effect that there would be no retrenchment of any employee, who were in service as on Appointed Date (i.e.04.04.2022) as well.

(b). That, as per the Scheme Amalgamation; Master Data; Balance Sheet as at 31.03.2021 and information provided by the Transferee Company, the authorized share capital is Rs.24,60,00,000/- divided into 2,46,00,000 equity shares of Rs.10/- each, whereas, as per audited Balance Sheet as at 31.03.2022, the authorized share capital of the Transferee Company has been shown as Rs.14,60,00,000 equity shares of Rs.10/- each. Hence, sought this Tribunal to direct the Transferee Company to submit the clarification in this regard.

7. The Petitioner Companies filed a joint memo on 09.03.2023 undertaking to comply with the objections raised by the OL & RD. There are no further objections raised by the OL & RD.

8. As per directions of this Tribunal vide order dated 04.11.2022 & 16.11.2022, the Petitioner Companies conducted meeting of the trade

creditors and the Chairperson and Scrutinizer for both the Companies filed their repots.

9. As per the report of Chairperson and Scrutinizer for the 1st Petitioner/Transferor Company, the total number of Trade Creditors were 47 in number and the total value of such trade creditors was Rs.65,42,96,107/-. The meeting was attended by 45 Trade Creditors (in person and proxy) out of which 41 Trade Creditors collectively entitling to Rs.61,05,98,868/- voted in favour of the resolution. However, 4 votes were held to be invalid votes and the value of such invalid votes was Rs.3,96,60,012/-. The scheme was approved unanimously by all the trade creditors present and voting at the meeting.

10. As per the report of Chairperson and Scrutinizer for the Transferee Company, the total number of Trade Creditors were 51 in number and the value was Rs.97,81,74,295/-. The meeting was attended by 38 Trade Creditors (in person and proxy) collectively entitled to Rs.79,64,15,718/- who voted in favour of the resolution. The majority of the persons representing three-fourths in value of the Trade Creditors of the Transferee Company approved the Scheme.

11. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Chairperson and Scrutinizer of both the Companies and also reports of the Regional Director, Official Liquidator and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and does not violate any provisions of law. All the

statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013. Hence, ordered.

12. The Company Petition is allowed with the following directions:-

a) The Reports of the Chairperson along with the Scrutinizers for the Trade Creditors meeting of both the Companies are taken on record.

b) The Scheme of Amalgamation (Copy of the Scheme of Amalgamation is enclosed at Page No.284 to 309 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

c) The Scheme shall become effective from the Appointed Date i.e., 01.04.2022 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

d) While approving the Scheme as above, it is further clarified that this order shall not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

e) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

f) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

g) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

h) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

i) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

j) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them, including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

k) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

13. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA)/2/230/AMR/2023 is stands disposed of.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu